

Multiple Choice

1. **Answer:** A

Options: A) An increase in immigration from abroad.; B) A rise in the level of education.; C) A rise in the literacy rate.; D) A decrease in unemployment rates.; E) A growth in the number of small businesses.

Note: Correct option: A - An increase in immigration from abroad.

2. **Answer:** A

Options: A) An increase in the reserve ratio.; B) An increase in the money supply.; C) A decrease in the marginal propensity to consume.; D) A decrease in the spending multiplier.; E) An increase in the interest rate.

Note: Correct option: A - An increase in the reserve ratio.

3. **Answer:** A

Options: A) decrease by \$29 million.; B) increase by \$2900 million.; C) decrease by \$2.9 million.; D) stay the same.; E) increase by \$29 million.

Note: Correct option: A - decrease by \$29 million.

4. **Answer:** D

Options: A) affect domestic prices: the former lowers them while the latter raises them.; B) reduce the overall cost of goods for consumers.; C) have no impact on the volume of trade between nations.; D) result in higher domestic prices.; E) ensure the stability of international markets without influencing domestic markets.

Note: Correct option: D - result in higher domestic prices.

5. **Answer:** A

Options: A) A non-stationary process without trend; B) A random walk with drift; C) A stationary process; D) A mean-reverting process; E) A stationary process with trend

Note: Correct option: A - A non-stationary process without trend

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'results in a deficit of goods in the market'.

8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** The Supply-side Economists. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Transactions Demand and Asset Demand. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.